Juan Zurita
Research Statement

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My research studies how credit markets—and the banks that intermediate them—shape the transmission of macroeconomic policy. I ask two broad questions: how do household and bank balance sheets alter the effects of monetary and fiscal policy, and who bears the costs when regulators tighten capital requirements? The answers require quantitative models and careful empirical work; I combine both. My published and ongoing papers span three interconnected areas: household debt and policy transmission, banking heterogeneity and credit supply, and fiscal sustainability. Figure 1 maps the connections.

Household Debt and Policy Transmission

Standard New Keynesian models assign no role to household debt in the transmission of monetary or fiscal policy. Central bankers—at the RBA, Riksbank, Norges Bank—have long suspected otherwise. My first two papers test the claim.

In *"Does Household Debt Affect the Transmission Mechanism of Monetary Policy?"* (**Macroeconomic Dynamics**, 2026), I estimate a smooth-transition VAR on data from Australia, Sweden, Norway, and the G7. Two results stand out. First, the short-run output response to a monetary easing is roughly 0.06 percentage points of GDP *larger* when household debt is high—indebted households are more sensitive to changes in interest payments. Second, high debt *reduces the persistence* of the stimulus over 4–8 quarters, as debt-service obligations reassert themselves.

The fiscal counterpart is in *"Does Household Debt Affect the Size of the Fiscal Multiplier?"* (**Macroeconomic Dynamics**, 2024). The same STVAR methodology applied to government-spending shocks reveals a mirror image: fiscal multipliers are larger when household debt is *low*—by 0.70, 0.61, and 0.79 percentage points of GDP on impact in Australia, Norway, and the United States, respectively. Indebted households save rather than spend the extra income generated by fiscal expansion.

Together, these papers establish that the household balance sheet is a first-order state variable for policy transmission. The effectiveness of both monetary and fiscal policy depends on where in the debt cycle the economy sits.

A third paper, *"Household Debt and Low Labour Productivity"* (working paper, 2025), asks how indebted households absorb shocks at the individual level. Using Australian microdata, I document that middle-aged individuals whose mortgage repayments exceed 20 percent of income respond to rising obligations by working *more*, not less. In an incomplete-markets model, this amplified labour-supply response makes the economy more responsive to shocks on the extensive margin but more fragile when further shocks arrive. The household balance sheet shapes the supply side of the economy, not just the demand side.

Banking, Credit Supply, and Regulation

The household-debt papers address the demand side of credit. Three further papers turn to the supply side—the banks.

Banking heterogeneity and growth. In *"Banking Heterogeneity, Credit Supply and Economic Growth"* (**International Review of Economics and Finance**, 2026), I compile a dataset of over 5,000 U.S. bank balance sheets matched to mortgage and business loan data. The central finding is that standard models ignoring lender heterogeneity dramatically understate the economic effects of credit: accounting for bank equity-size heterogeneity amplifies the estimated impact of mortgage lending on local GDP growth by up to *sixty times*, and business lending by up to eighteen times. The architecture of the financial system, not just its aggregate size, determines how credit affects the real economy.

Who bears the burden of bank capital regulation? My job market paper takes the heterogeneity result to its policy implication. Using narratively identified capital-requirement shocks and a quarterly panel of approximately 4,800 U.S. banks over 1994–2019, I document two cross-sectional facts: *within* banks, commercial lending contracts about forty percent more than real-estate lending, reflecting differential risk weights; *across* banks, institutions with thin voluntary capital buffers absorb the largest share of the contraction.

I rationalise both facts with a heterogeneous macro-banking model with precautionary buffers, solved globally and estimated on within-bank impulse responses. The model delivers a key quantitative result: a one-percentage-point increase in the capital requirement costs 2.4–2.9 percent of credit-market surplus. Redesigning risk weights or size tiers—the architecture of regulation—redistributes the burden across borrower types and bank sizes but barely changes its aggregate magnitude. The total cost is driven by the *level* of requirements, not their design.

The bank profit channel of monetary policy. In joint work with Jiening Le (submitted, 2026), I study how contractionary interest-rate surprises affect bank profitability across the size distribution. Using high-frequency monetary-policy surprises matched to Call Report data, we identify a non-linear effect: a one-standard-deviation increase in expense-channel exposure compresses net interest income by 9 percent for small banks and 11 percent for large banks, but the effect peaks at *19 percent* for medium-sized banks. The mechanism is a liability-substitution channel—depositors shift from zero-cost accounts to interest-bearing alternatives, and mid-sized banks can neither access wholesale funding flexibly nor retain cheap deposits. The profitability squeeze persists for several quarters, implying that tightening cycles constrict credit supply disproportionately through mid-sized lenders.

Fiscal Sustainability

As Principal Investigator on a *Royal Society of Edinburgh*-funded project, I examine whether productivity growth can substitute for fiscal discipline in the United Kingdom (*"Labour Productivity Growth and the Fiscal Sustainability Programme in the United Kingdom,"* working paper, 2025). In a DSGE framework, the answer is negative: maintaining government spending per worker without raising the debt-to-output ratio requires higher taxation regardless of productivity gains. The tax-mix analysis shows that capital taxes repair the budget but compound long-run growth costs, consumption taxes create volatility, and labour taxes are the least distortive instrument—practical guidance for any advanced economy navigating the tension between spending commitments and debt sustainability.

Future Directions

My existing work treats the household and bank sides of the credit market largely in isolation. Two projects aim to close the gap:

- *Earnings risk and business cycles* (with Emiliano Carlevaro): we study how earnings risk varies over the cycle in a volatile economy and interacts with household portfolio choices and credit demand. If earnings risk is countercyclical, households demand more credit precisely when the banking sector is least willing to supply it.
- *Bridging household debt and bank regulation*: a general-equilibrium model in which regulatory shocks to bank capital interact with the household debt cycle. Tighter capital rules reduce credit supply; high household debt dampens the demand-side absorption of fiscal attempts to offset the contraction. The two amplification mechanisms should reinforce each other.

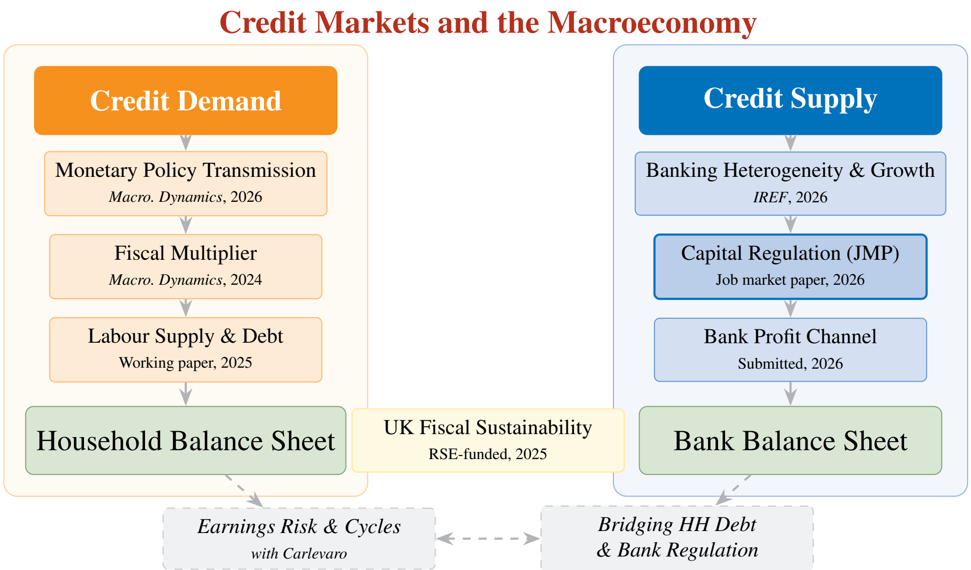

Figure 1: Research agenda: Credit markets and the macroeconomy. Solid arrows trace the progression of completed work; dashed arrows indicate planned projects that bridge the demand and supply sides.

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